



Hiring a Contractor: License, Money, and Questions

California's rules are unusually protective of homeowners, and they exist because people get burned. Checking a license is free and takes about two minutes. Do it before anyone sets foot on your property.

THE TWO-MINUTE CHECK THAT PREVENTS MOST PROBLEMS

Search the contractor at the Contractors State License Board license lookup, [cslb.ca.gov](https://www.cslb.ca.gov). It shows license status, every classification the license carries, bond information, workers' compensation coverage, and complaint disclosure. Every contractor ad in California is supposed to carry the license number, so ask for it up front.

BEFORE YOU SIGN ANYTHING

- ☐ Look the license up yourself at CSLB. Don't accept a number on a business card as proof of anything.
- ☐ Confirm the **classification matches the job**. A landscaping license is not a septic license.
- ☐ Check **workers' compensation** on the same lookup. If an uninsured worker is hurt on your property, you can end up holding that problem.
- ☐ When they come out to bid, ask to see the **pocket license and a photo ID**, so the person in your driveway is the person on the license. CSLB recommends this.
- ☐ Get **three bids** for anything substantial, and compare scope, not just price.
- ☐ Ask for **references from recent customers with similar projects**. Up here the best reference is the neighbor whose retaining wall survived last winter.
- ☐ Have insurance certificates sent **directly from the insurer**, not forwarded by the contractor.
- ☐ Get it **in writing** before work starts, including scope, materials, schedule, and who pulls the permits.

THE MONEY RULES, IN FIVE LINES

A license is required at \$1,000 or more in combined labor and materials. That threshold rose from \$500 on January 1, 2025 under AB 2622, and the under-\$1,000 exemption only holds if the work needs no permit and the person hires no helpers.

A written contract is required for home improvement work over \$500.

The down payment is capped at \$1,000 or 10 percent of the contract price, whichever is less. Not whichever is more. This is the rule most often broken.

After the deposit, payments cannot exceed the value of work actually completed. Progress payments follow progress.

Never pay in cash up front. A demand for cash or a large deposit is the single most common warning sign.

THE LICENSE CLASSES THAT COME UP ON MOUNTAIN LOTS

- B** General building contractor
- C-10** Electrical
- C-36** Plumbing
- C-42** Sanitation system: septic installation and repair
- C-12** Earthwork and paving: grading and driveways, its own specialty on our slopes
- C-57** Well drilling
- C-39** Roofing
- C-49** Tree and palm, which replaced the old D-49

TREE WORK HAS ONE EXTRA RULE

Tree work over \$1,000 is licensed contracting, and the classification is C-49. Because the work is so dangerous, CSLB requires tree service contractors to carry workers' compensation **whether or not they have employees**. Most contractors can skip it as a one-person shop. Tree contractors cannot. Verify it on the license lookup rather than taking a business card's word.

WALK AWAY IF YOU HEAR OR SEE ANY OF THIS

- ☐ A demand for cash, or a deposit larger than the legal cap
- ☐ No license number on the truck or the paperwork
- ☐ An offer to skip a permit "to save you money." Unpermitted work follows the property, not the contractor.
- ☐ A flat "you don't need a permit up here." Sometimes you do, and it depends entirely on where the work is.
- ☐ Pressure to decide today, or a price that only holds if you sign now

QUESTIONS THAT REVEAL MOUNTAIN EXPERIENCE

A license proves legality, not fit. A contractor who does beautiful work in a flatland subdivision can still come undone on a parcel with a septic system, a steep driveway, and a creek at the bottom of the yard. Ask: What is your license number and classification for this work? Can your insurer send me liability and workers' comp certificates? Who pulls the permits? Where will the water go when you are finished? Have you worked on a parcel like this one, and can I call that customer? Local outfits answer these without flinching.

IF IT GOES WRONG

Document everything and file a complaint with CSLB. It addresses violations whether the contractor is licensed or unlicensed, a contractor's license bond is filed partly for the benefit of consumers damaged by defective work, and complaints become part of the public disclosure that protects the next homeowner.

License threshold, contract and down-payment rules, classifications, workers' compensation requirements, and the complaint process are from the California Contractors State License Board (cslb.ca.gov). Checked July 2026. Rules change, so confirm current requirements before you rely on a figure here. Being listed in our directory is not an endorsement and never replaces your own license check.